

# CfC Stanbic Holdings Limited

The Board of Directors of CfC Stanbic Holdings Limited is pleased to announce the unaudited results of the company for the half year period ended 30 June 2011

## CONSOLIDATED STATEMENT OF FINANCIAL POSITION

|                                                                                 | 30 Jun 2010<br>Shs'000 | 31 Dec 2010<br>Shs'000 | 30 Jun 2011<br>Shs'000 |
|---------------------------------------------------------------------------------|------------------------|------------------------|------------------------|
| <b>Assets</b>                                                                   |                        |                        |                        |
| Cash, banks and Central Bank of Kenya balances                                  | 7,122,578              | 5,444,892              | 5,693,238              |
| Pledged assets                                                                  | 12,770,041             | 2,940,007              | 3,116,716              |
| Derivative assets                                                               | -                      | 29,508                 | 2,566,443              |
| Financial investments                                                           | 18,745,673             | 19,058,210             | 13,639,699             |
| Loans and advances                                                              | 73,835,799             | 75,224,630             | 88,417,941             |
| Loans and advances to banks                                                     | 24,334,328             | 16,239,669             | 20,255,925             |
| Loans and advances to customers                                                 | 49,501,471             | 58,984,961             | 68,162,016             |
| Other assets                                                                    | 5,887,480              | 1,446,115              | 1,462,011              |
| Investment in subsidiaries and associates                                       | 409,641                | 100,111                | 84,074                 |
| Property and equipment                                                          | 2,869,157              | 1,911,102              | 1,988,629              |
| Investment properties                                                           | 412,000                | -                      | -                      |
| Prepaid operating lease                                                         | 77,636                 | 71,622                 | 70,685                 |
| Intangible assets - Goodwill                                                    | 10,434,405             | 10,434,405             | 9,349,759              |
| Other intangible assets                                                         | 2,153,437              | 1,726,053              | 1,537,052              |
| Current tax recoverable                                                         | 248,371                | 158,846                | 168,687                |
| Deferred income tax asset                                                       | 61,860                 | -                      | 198,660                |
| Assets classified as held for distribution                                      | -                      | 21,534,701             | -                      |
| <b>Total assets</b>                                                             | <b>135,028,078</b>     | <b>140,080,202</b>     | <b>128,293,794</b>     |
| <b>Equity and liabilities</b>                                                   |                        |                        |                        |
| Derivative liabilities                                                          | -                      | -                      | 2,430,483              |
| Deposits and current accounts                                                   | 83,438,910             | 85,694,598             | 95,167,961             |
| Borrowings                                                                      | 4,654,362              | 7,066,362              | 7,374,273              |
| Other liabilities                                                               | 21,848,747             | 3,847,734              | 3,925,189              |
| Balances due to group companies                                                 | -                      | -                      | -                      |
| Current income tax payable                                                      | 279,370                | 246,827                | 88,358                 |
| Deferred income tax liability                                                   | 466,906                | 200,443                | 222,213                |
| Liabilities directly associated with assets classified as held for distribution | -                      | 18,255,623             | -                      |
| <b>Total liabilities</b>                                                        | <b>110,688,295</b>     | <b>115,311,587</b>     | <b>109,208,478</b>     |
| Ordinary share capital                                                          | 1,368,421              | 1,368,421              | 1,368,421              |
| Ordinary share premium                                                          | 13,586,847             | 13,586,847             | 13,586,847             |
| Revenue and other reserves                                                      | 6,488,780              | 6,878,493              | 4,130,048              |
| <b>Equity attributable to company's equity holders</b>                          | <b>21,444,048</b>      | <b>21,833,761</b>      | <b>19,085,316</b>      |
| Minority interest                                                               | 2,895,735              | 2,934,854              | -                      |
| <b>Total equity and liabilities</b>                                             | <b>135,028,078</b>     | <b>140,080,202</b>     | <b>128,293,794</b>     |

## CONDENSED STATEMENT OF CASH FLOWS

|                                                       | 30 Jun 2010<br>Shs '000 | 31 Dec 2010<br>Shs '000 | 30 Jun 2011<br>Shs '000 |
|-------------------------------------------------------|-------------------------|-------------------------|-------------------------|
| <b>Cash flows from operating activities</b>           | <b>1,670,086</b>        | <b>3,073,328</b>        | <b>1,198,231</b>        |
| Income tax paid                                       | (296,347)               | (575,383)               | (817,820)               |
| <b>Net cash generated from operating activities</b>   | <b>1,373,739</b>        | <b>2,497,945</b>        | <b>380,411</b>          |
| Changes in operating assets and liabilities           | 20,802,237              | (6,471,699)             | 1,279,264               |
| <b>Cash flows generated from operating activities</b> | <b>22,175,976</b>       | <b>(3,973,954)</b>      | <b>1,659,675</b>        |
| Cash flows generated/(used) in investing activities   | 522,826                 | 332,415                 | (122,391)               |
| Cash flows generated/(used) in financing activities   | (745,936)               | 2,166,064               | (118,256)               |
| Currency translation differences                      | (13,587)                | (8,654)                 | -                       |
| <b>Net increase in cash and cash equivalents</b>      | <b>21,939,279</b>       | <b>(1,484,129)</b>      | <b>1,419,028</b>        |
| Cash equivalents from discontinued Operations         | -                       | -                       | (4,335,905)             |
| <b>Cash and cash equivalents at 1 January</b>         | <b>10,088,244</b>       | <b>10,088,244</b>       | <b>8,604,115</b>        |
| <b>Cash and cash equivalents</b>                      | <b>32,027,523</b>       | <b>8,604,115</b>        | <b>5,687,238</b>        |

## CONDENSED STATEMENT OF CHANGES IN EQUITY

|                                               | Share capital<br>Shs '000 | Share premium<br>Shs '000 | Revenue & other reserves<br>Shs '000 | Non-controlling interest<br>Shs '000 | Total<br>Shs '000 |
|-----------------------------------------------|---------------------------|---------------------------|--------------------------------------|--------------------------------------|-------------------|
| At 1 January 2011                             | 1,368,421                 | 13,586,847                | 6,878,493                            | 2,934,854                            | 24,768,615        |
| Net profit for the period                     | -                         | -                         | 834,857                              | 67,376                               | 902,233           |
| Dividend paid                                 | -                         | -                         | (1,087,672)                          | -                                    | (1,087,672)       |
| Other comprehensive income                    | -                         | -                         | (957,866)                            | -                                    | (957,866)         |
| Other owner and demerger related transactions | -                         | -                         | (1,537,764)                          | (3,002,230)                          | (4,539,994)       |
| At 30 June 2011                               | 1,368,421                 | 13,586,847                | 4,130,048                            | -                                    | 19,085,316        |

## CONSOLIDATED INCOME STATEMENT

|                                                                       | 30 Jun 2010<br>Shs'000 | 31 Dec 2010<br>Shs'000 | 30 Jun 2011<br>Shs'000 |
|-----------------------------------------------------------------------|------------------------|------------------------|------------------------|
| <b>Net interest income</b>                                            | <b>1,836,222</b>       | <b>4,156,659</b>       | <b>2,713,040</b>       |
| Non-interest revenue                                                  | 2,817,746              | 4,335,008              | 2,027,940              |
| Income from associates                                                | 19,112                 | 44,016                 | 27,980                 |
| Insurance underwriting income                                         | -                      | -                      | -                      |
| <b>Total Income</b>                                                   | <b>4,673,080</b>       | <b>8,535,683</b>       | <b>4,768,960</b>       |
| Credit impairment charges                                             | (285,252)              | (521,441)              | (240,386)              |
| Impairment loss on available-for-sale securities                      | -                      | (32,153)               | -                      |
| <b>Income after impairment charges</b>                                | <b>4,387,828</b>       | <b>7,982,089</b>       | <b>4,528,574</b>       |
| Staff costs                                                           | (1,115,715)            | (2,509,024)            | (1,433,047)            |
| Other operating expenses                                              | (2,334,300)            | (3,723,418)            | (1,790,777)            |
| <b>Profit before taxation</b>                                         | <b>937,813</b>         | <b>1,749,647</b>       | <b>1,304,750</b>       |
| Income tax expense                                                    | (427,337)              | (598,324)              | (532,485)              |
| <b>Profit for the period</b>                                          | <b>510,476</b>         | <b>1,151,323</b>       | <b>772,265</b>         |
| <b>Discontinued Operations</b>                                        |                        |                        |                        |
| Profit for the period from discontinued operations                    | 312,834                | 636,045                | 129,968                |
| <b>Profit for the period</b>                                          | <b>823,310</b>         | <b>1,787,368</b>       | <b>902,233</b>         |
| <b>Attributable to:</b>                                               |                        |                        |                        |
| Owners of parent                                                      |                        |                        |                        |
| Profit for the period from continuing operations                      | 510,476                | 1,151,323              | 772,265                |
| Profit for the period from discontinued operations                    | 167,488                | 453,450                | 62,592                 |
| <b>Profit for the period attributable to owners of the parent</b>     | <b>677,962</b>         | <b>1,604,773</b>       | <b>834,857</b>         |
| <b>Non-controlling interests</b>                                      |                        |                        |                        |
| Profit for the period from continuing operations                      | 145,348                | 182,595                | 67,376                 |
| Profit for the period from discontinued operations                    | -                      | -                      | -                      |
| <b>Profit for the period attributable to Non-controlling interest</b> | <b>823,310</b>         | <b>1,787,368</b>       | <b>67,376</b>          |

## CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

|                                                                       | 30 Jun 2010<br>Shs'000 | 31 Dec 2010<br>Shs'000 | 30 Jun 2011<br>Shs'000 |
|-----------------------------------------------------------------------|------------------------|------------------------|------------------------|
| <b>Profit for the year</b>                                            | <b>823,310</b>         | <b>1,787,368</b>       | <b>902,233</b>         |
| <b>Other comprehensive income:</b>                                    |                        |                        |                        |
| Exchange differences on translation of foreign operations             | 2,020                  | (3,437)                | -                      |
| Gain/(loss) on fair valuation of available for sale financial assets  | 2,557,995              | 2,059,231              | (1,368,380)            |
| Deferred tax (charge) / credit on revaluation of AFS financial assets | (213,612)              | (178,219)              | 410,514                |
| Impairment loss on AFS equity securities charged through P&L          | -                      | 32,153                 | -                      |
| Gains/(Losses) on property revaluations                               | -                      | 18,058                 | -                      |
| Other comprehensive income                                            | -                      | (14,088)               | -                      |
| <b>Total other comprehensive income for the period</b>                | <b>2,346,403</b>       | <b>1,904,698</b>       | <b>(957,866)</b>       |
| <b>Total comprehensive income for the period</b>                      | <b>3,169,713</b>       | <b>3,692,066</b>       | <b>(55,633)</b>        |
| <b>Attributable to:</b>                                               |                        |                        |                        |
| Owners of the parent                                                  | 2,401,765              | 2,687,764              | (123,009)              |
| Non controlling interest                                              | 767,948                | 1,004,302              | 67,376                 |
| <b>Total comprehensive income for the period</b>                      | <b>3,169,714</b>       | <b>3,692,066</b>       | <b>(55,633)</b>        |
| <b>EPS basic and diluted (Shs)</b>                                    | <b>2.48</b>            | <b>5.86</b>            | <b>2.82</b>            |

## MESSAGE FROM THE DIRECTORS

The consolidated statement of financial position, consolidated income statement, consolidated statement of comprehensive income, condensed statement of cash flows and condensed statement of changes in equity are extracts from the financial statements of CfC Stanbic Holdings Limited.

The financial statements include 3 months financial results for the demerged insurance subsidiaries and 6 months financial results for CfC Financial Services, CfC Stanbic Bank and CfC Stanbic Holdings.

Profit after tax for the half year period to June 2011 is Kenya Shillings 902,232,561 (June 2010- Shs. 823,310,382). As in previous periods, the comprehensive income includes a fair value adjustment in respect of available for sale securities.

Notwithstanding the demerger, earnings per share (EPS) increased by 13.7%.

The above financials were approved by the Board of Directors on 10th August 2011 and signed on its behalf by:-

F N Ojumbo, SC  
Chairman

K Mbathi  
Managing Director



**CfC Stanbic**

A member of Standard Bank Group